



Trade Agreements and Strategic Market Diversification: Creating a Decision Framework for Indian Apparel Buying Houses



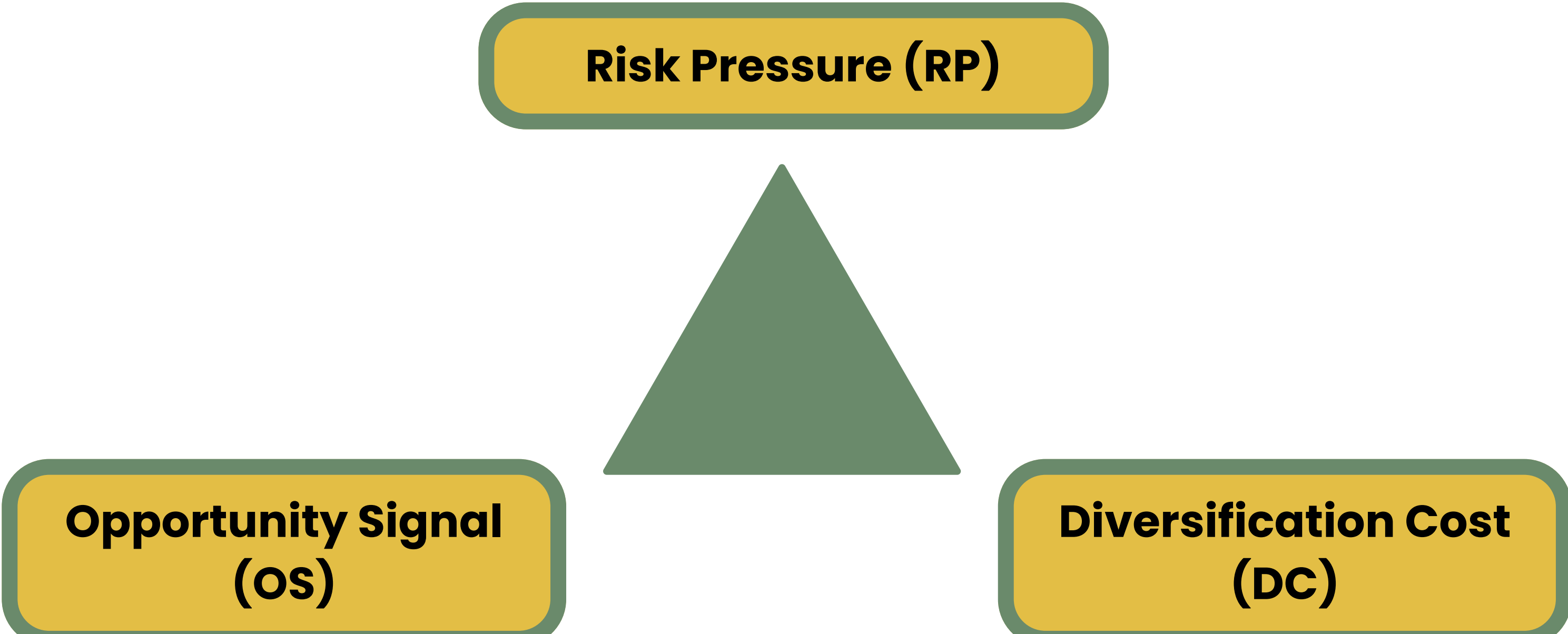
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Indian apparel buying houses remain heavily dependent on the US market and a limited number of key buyers, increasing vulnerability to trade disruptions and sourcing shocks amid evolving FTA-driven trade dynamics. This study develops the Diversification Threshold Model (DTM), a strategic decision framework for evaluating when market diversification becomes necessary for apparel buying houses.

RESEARCH OBJECTIVES

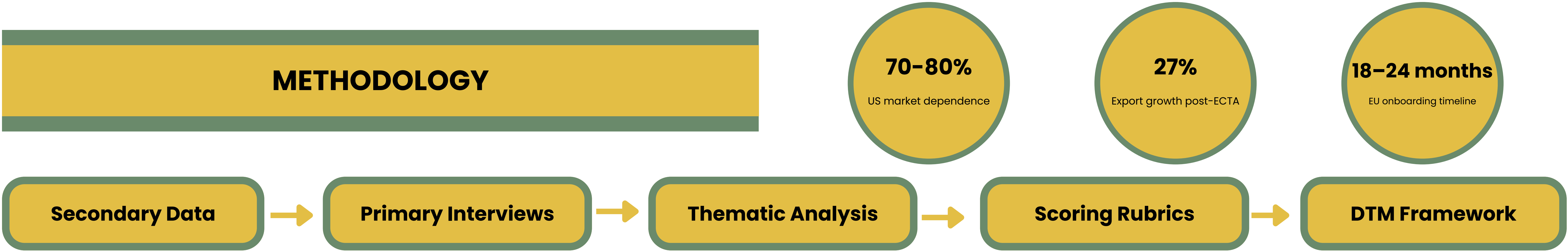
- Primary Objective:** Develop a structured decision-making framework evaluating when market diversification becomes strategically justified for Indian apparel buying houses in the context of evolving trade agreements and export market dynamics.
- Secondary Objectives:**
- Analyse the impact of recent trade agreements on India's tariff competitiveness in key apparel export markets
 - Examine the extent of export market and buyer concentration in the Indian apparel sector
 - Assess the risks associated with concentration and the operational constraints affecting diversification
 - Construct a model that integrates risk, opportunity, and diversification feasibility into a weighted strategic evaluation model

The Diversification Threshold Model (DTM)



$$DTS = (RP \times 0.40) + (OS \times 0.35) + (DC \times 0.25)$$

METHODOLOGY



APPLICATION OF DTM

	UNITED STATES	3.75	Phased Diversification
	UK	4.25	Strategic Diversification
	EU	3.70	Phased Diversification
	AUSTRALIA	4.80	Strategic Diversification

MODEL DECISION LOGIC

DTS Range	Strategic Outcome
4.0 – 5.0	Strategic Diversification
3.2 – 3.9	Phased Diversification
2.4 – 3.1	Opportunistic Expansion
1.6 – 2.3	Deferred Diversification
1.0 – 1.5	Maintain Existing Structure

RECOMMENDATIONS

- Reduce excessive US market dependency
- Prioritise diversification into Australia and the UK
- Adopt phased expansion strategies for the EU
- Strengthen operational readiness and buyer onboarding capability